Results

01 · DIFFERENCE-IN-DIFFERENCES (DID)

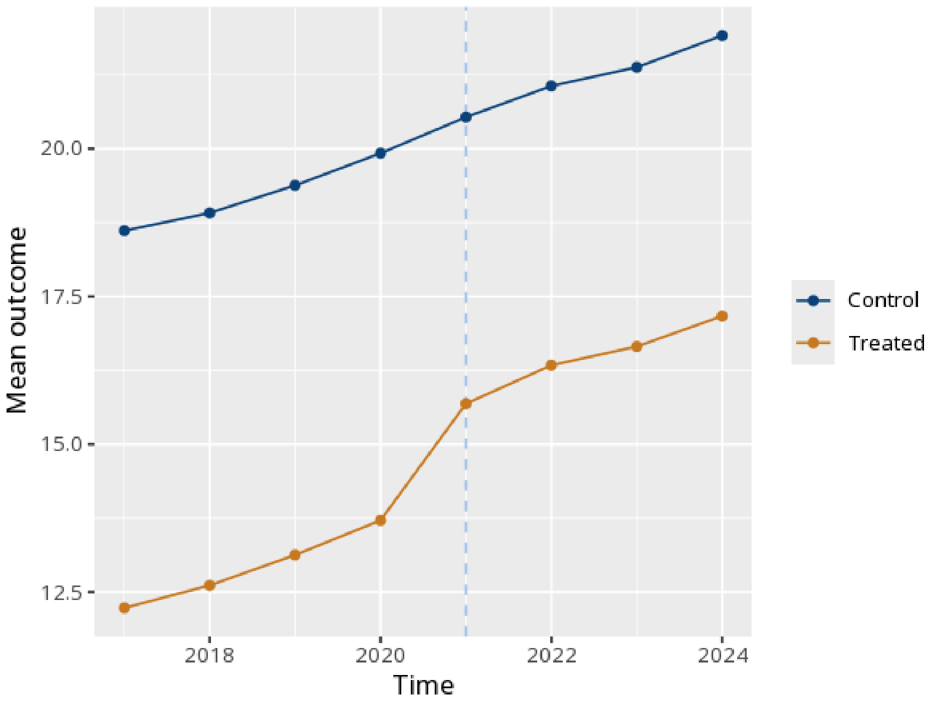
policy effect, before/after × treated/control

Table. DiD model

	(1)
Post	2.02
	(0.09)
	[1.84, 2.19]
Treated × Post	1.53
	(0.12)
	[1.29, 1.76]
Num.Obs.	96
N entities	12
Within R^2	.84
F	$F(2, 82) = 216.31$, $p < .001$

the Treated×Post interaction is the DiD effect; valid only if pre-treatment trends are parallel. Under entity fixed effects the time-invariant Treated main effect is absorbed (only Post and Treated×Post are estimated). Standard errors in parentheses are clustered by entity; the bracketed line is the 95% CI. Pre-trends test (pre-period leads-and-lags joint F of treated×time): $F(3, 40) = 0.00$, $p = 1.000$ — a small p flags diverging pre-trends.

Figure. Parallel trends



How to read this test

The Treated×Post coefficient is the estimated treatment effect. It rests on the parallel-trends assumption: that the groups would have moved together absent treatment. Similar pre-treatment trends (inspect the pre-period of the plot) make this more plausible but do not prove it — a visual check is supportive, not confirmatory, since the assumption is about the unobservable post-period counterfactual. The note adds a formal pre-trends test (a pre-period leads-and-lags joint F of the treated×time interactions): a small p flags diverging pre-trends, while a large p is consistent with parallel trends. Method: R plm package with clustered standard errors (Croissant & Millo, 2008; Bertrand, Duflo & Mullainathan, 2004). Your significance threshold (α) is 0.05.

APA template: The DiD estimate was B=1.53, 95% CI [1.29, 1.76], p < .001 (clustered SE).

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